



**PUNJAB PUBLIC SERVICE COMMISSION**  
**COMBINED COMPETITIVE EXAMINATION**  
**FOR RECRUITMENT TO THE POSTS OF**  
**PROVINCIAL MANAGEMENT SERVICE, ETC -2021**  
**CASE NO. 3C2022**

**SUBJECT: COMMERCE (PAPER-I)**

**TIME ALLOWED: THREE HOURS**

**MAXIMUM MARKS: 100**

**NOTE:**

- I. All the parts (if any) of each Question must be attempted at one place instead of at different places.
- II. Write Q. No. in the Answer Book in accordance with Q. No. in the Q. Paper.
- III. No Page/Space be left blank between the answers. All the blank pages of Answer Book must be crossed.
- IV. Extra attempt of any question or any part of the question will not be considered.

**Attempt Five Questions in All. Selecting minimum Two Questions from each Part. Calculator is allowed (Not programmable).**

**PART - A**

**Q No. 1:** "Generally Accepted Accounting Principles (GAAP) are the foundation for a true accounting system" Do you agree with this statement? **(20 Marks)**

**Q No. 2:** From the following details prepare cash flow statement for ABC Limited for the year ended 31<sup>st</sup> December, 2015 under IAS 7 layout: **(20 Marks)**  
**Profit and Loss Account for the year ended on 31<sup>st</sup> December, 2015**

|                       |        |                   |
|-----------------------|--------|-------------------|
| Gross Profit          |        | Rs.44,700         |
| Discount received     | Rs.410 |                   |
| Gain on Sale of Asset | Rs.620 | Rs. 1,030         |
|                       |        | <b>Rs. 45,730</b> |

**Less Expenses**

|                         |           |                  |
|-------------------------|-----------|------------------|
| Vehicle / Expenses      | Rs. 1,940 |                  |
| Wages                   | Rs.17,200 |                  |
| General Expenses        | Rs. 830   |                  |
| Bad Debts               | Rs. 520   |                  |
| Provision for Bad Debts | Rs. 200   |                  |
| Depreciation            | Rs. 1,800 |                  |
| Total Expenses          |           | <b>Rs.22,490</b> |
| <b>Net Profit</b>       |           | <b>Rs.23,240</b> |

**Balance Sheet as on**

|                              | <b><u>2014</u></b> | <b><u>2015</u></b> |
|------------------------------|--------------------|--------------------|
| <b><u>Fixed Assets</u></b>   |                    |                    |
| at cost                      | Rs.15,400          | Rs.8,200           |
| Accumulated Depreciation     | Rs. 5,300          | Rs.3,100           |
|                              | <b>Rs.10,100</b>   | <b>Rs.5,100</b>    |
| <b><u>Current Assets</u></b> |                    |                    |
| Inventories                  | Rs.18,600          | Rs.24,000          |
| Debtors                      | Rs. 8,800          | Rs. 7,700          |
| Less Provision               | Rs. 600            | Rs. 800            |
|                              | Rs. 8,200          | Rs. 6,900          |
| Cash and Bank Balance        | Rs. 410            | Rs. 720            |
| Total Current Assets         | Rs.27,210          | Rs.31,620          |
| <b>Total Assets</b>          | <b>Rs.37,310</b>   | <b>Rs.36,720</b>   |

| <u>Liabilities &amp; Equity</u> | <u>2014</u>      | <u>2015</u>      |
|---------------------------------|------------------|------------------|
| <u>Current Liabilities</u>      |                  |                  |
| Creditors                       | Rs. 5,900        | Rs.7,200         |
| <u>Long Term Liabilities</u>    |                  |                  |
| Bank Loan                       | Rs.10,00         | Rs.7,500         |
| Total Liabilities               | Rs.15,900        | Rs.14,700        |
| Net Worth                       | Rs.21,410        | Rs.22,020        |
| <u>Capital</u>                  |                  |                  |
| Opening Balance                 | Rs.17,210        | Rs.21,410        |
| Add Net Profit                  | <u>Rs.21,200</u> | <u>Rs.23,240</u> |
|                                 | <b>Rs.38,410</b> | <b>Rs.44,650</b> |
| Less Drawing                    | <u>Rs.17,000</u> | <u>Rs.22,630</u> |
|                                 | <b>Rs.21,410</b> | <b>Rs.22,020</b> |

**Q No. 3:** A company purchased a second-hand machine on 1<sup>st</sup> Jan., 2001 for Rs.37,000 and immediately spent Rs.2,000 on its overhauling and Rs.1,000 on its erection. On 1<sup>st</sup> July, 2002, it purchased another machine for Rs.10,000 and on 1<sup>st</sup> July, 2003 it sold off the first machine purchased in 2001 for Rs.28,000. It purchased a machine for Rs.25,000 on 1<sup>st</sup> July, 2003. On 1<sup>st</sup> July, 2004 the second machine purchased for Rs.10,000 was sold for Rs.2000.

Depreciation was provided on the machine at 10% on the original cost annually. In 2002, however, the company changed the method of depreciation and adopted the written down value method, rate of depreciation being 15% p.a.

**Required:** Give the Machine Account for four years from 2001 to 2004 assuming accounting year ends on 31<sup>st</sup> December every year. **(20 Marks)**

**Q No. 4:** Given below is Income Statement of XYZ Limited for the year ended. **(20 Marks)**

|               | <u>Rupees</u>        |
|---------------|----------------------|
| Sale – net    | 5,971,228,748        |
| Cost of Sales | 3,125,337,924        |
|               | <u>2,845,890,824</u> |

|                                                |                      |
|------------------------------------------------|----------------------|
| Distribution, selling and promotional expenses | 1,499,737,319        |
| Administrative and general expenses            | 270,080,061          |
| Research and development expenses              | 3,606,954            |
| Other operating expenses                       | 84,485,841           |
|                                                | <u>1,957,910,175</u> |
| Other Income                                   | 29,277,764           |
| Operating Profit                               | <u>917,258,413</u>   |

|                        |                    |
|------------------------|--------------------|
| Finance Costs          | 4,959,755          |
| Profit before taxation | 912,298,658        |
| Taxation               | 285,834,489        |
| Profit for the Year    | <u>626,464,169</u> |

|                               |                      |
|-------------------------------|----------------------|
| <b>ASSETS</b>                 |                      |
| Non-current assets            | 934,825,946          |
| Property, plant and equipment | 5,073,017            |
| Long term investment          | 200,000,000          |
| Long term deposits            | 12,695,663           |
| Long term advances            | 16,074,304           |
|                               | <u>1,168,668,930</u> |

**Current Assets**

Stock in Trade  
Trade Debts  
Advances  
Trade deposits and short term prepayments  
Profit accrued  
Other receivables  
Loan to subsidiary  
Tax refunds due from the Government  
Short term investments  
Cash and Bank Balance

|                      |
|----------------------|
| 1,115,539,075        |
| 250,692,198          |
| 57,879,171           |
| 24,329,555           |
| 2,015,658            |
| 4,819,473            |
| 20,000,000           |
| 5,611,106            |
| 100,000,000          |
| 612,566,431          |
| <b>2,193,452,667</b> |

**Total Assets**

**3,362,121,597**

**Liabilities & Equity**

**Current Liabilities**

Bank Borrowing  
Trade Creditors

800,000,000  
500,000,000  
1,300,000,000

**Long Term Liabilities**

Deposits

500,000,000

**Equity**

Paid up Credit  
General Reserves

500,000,000  
1,062,121,597  
**1,562,121,597**

**Total Liabilities & Equity**

**3,362,121,597**

**Additional Information**

- Company declared dividend @30% during the year.
- Market value of the share is Rs.600 while face value is Rs.10/-
- Company has no long term borrowings.
- Prepayments are 10% of the respective item.

**Required**

Compute following ratios:

- Gross Profit Margin
- After Tax Profit Margin
- Return on Equity
- Dividend Yield
- Dividend Payout
- Times Interest Earned
- Current Ratio
- Quick Ratio
- Breakup value of shares
- Earnings Per share

**PART- B**

**Q No. 5:** Explain the following terms with examples and imaginary data if required. (20 Marks)

- Applied Factory Overhead
- Cost of Product Report
- Economic Order Quantity
- Internal Rate of Return
- Opportunity Cost

**Q. No. 6:** Use LIFO on the following information to calculate the value of ending inventory. (20 Marks)

|        |                     |                     |
|--------|---------------------|---------------------|
| Mar 1  | Beginning Inventory | 60 units @ \$15.00  |
| Mar 5  | Purchase            | 140 units @ \$15.50 |
| Mar 14 | Sale                | 190 units @ \$19.00 |
| Mar 27 | Purchase            | 70 units @ \$16.00  |
| Mar 29 | Sale                | 30 units @ \$19.50  |

**Q No. 7:** In June, the idle capacity variance of Cool Corporation was zero, and spending variance was Rs.6,000 unfavorable. In July, the idle capacity variance was Rs.8,000 unfavorable, but the spending variance was zero. In June, actual overhead expense was Rs.70,000 for an output of 8,000 tons. July's expense was Rs.56,000 and output was 6,000 tons. In August, output was 9,000 tons, and actual overhead expense was Rs.71,000.

**Required:** (1) Factory overhead budgeted (estimated) for 9,000 tons.  
(2) Factory overhead applied in August.  
(3) Variances for August.

**(20 Marks)**

**Q. No. 8:** Naveed Manufacturing Co. presents the following information for the year ended 31<sup>st</sup> December, 1999.

**(20 Marks)**

|                                     |        |                              |      |
|-------------------------------------|--------|------------------------------|------|
| Sales                               | 252000 | Commission                   | 2500 |
| Sales Returns and Allowances        | 2000   | Advertising                  | 4000 |
| Purchases of Raw Material           | 96200  | Depreciation of Sales Office | 2200 |
| Carriage In                         | 300    | Traveling Expenses           | 1800 |
| Direct Labour                       | 40000  | Bad Debts                    | 700  |
| Purchases Return                    | 1200   | Salaries                     | 2000 |
| Indirect Material                   | 4300   | Stationery Used              | 1125 |
| Indirect Labour                     | 4700   | Rent of Office               | 1500 |
| Rent of Factory                     | 3500   | Interest Received            | 1110 |
| Factory Taxes                       | 1150   | Interest Paid                | 275  |
| Insurance of Factory Building       | 1500   |                              |      |
| Depreciation of Plant and Machinery | 3425   |                              |      |
| Heat, Light and Power               | 2225   |                              |      |

**INVENTORIES**

|                 | Jan. 1 | Dec. 31 |
|-----------------|--------|---------|
| Raw Material    | 9000   | 12000   |
| Work in Process | 16100  | 13900   |
| Finished Goods  | 17600  | 15300   |

**Required:**

- 1) Prepare Cost of Goods Manufactured and Sold Statement



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- iii. No Page/Space be left blank between the answers. All the blank pages of Answer Book must be crossed.
- iv. Extra attempt of any question or any part of the question will not be considered.

**Attempt Five Questions in All. Attempt at least ONE Question from each Section A to D.**  
**Calculator is allowed (Not programmable).**

**SECTION-A**

- Q No. 1:** Give an analysis of exports and imports of Pakistan in the context of current economic survey. (20 Marks)
- Q No. 2:** Define Fiscal policy and discuss its various tools in detail. (20 Marks)

**SECTION-B**

- Q No. 3:** What is Memorandum of Association? What are its contents? Explain the difference between Memorandum of Association and Articles of Association. (20 Marks)
- Q No. 4:** Define different levels of corporate social responsibility? Also explain in detail six steps of strategic management process? (20 Marks)

**SECTION-C**

- Q No. 5:** Explain in detail the procedure for formation of joint stock companies in Pakistan? (20 Marks)
- Q No. 6:** Define a letter of credit? Discuss the main types of letter of credit. (20 Marks)

**SECTION-D**

- Q No. 7:** Define capital budgeting process? Also explain in detail different capital budgeting techniques being used for project evaluation? (20 Marks)
- Q No. 8:** From the following data, calculate income tax payable by Mr. Ahmed for the tax year ending 30<sup>th</sup> June 2021: (20 Marks)
1. Basic salary Rs. 80,000 per month in the scale (Rs. 60,000-5,000-95,000).
  2. Bonus Rs. 200,000.
  3. Entertainment allowance at 50% of the minimum time scale.
  5. Conveyance allowance Rs. 90,000.
  6. Tax paid by the employer Rs. 25,000.
  7. Zakat was deducted Rs. 260,000 .
  8. Re-imbursment of internet bill (used for office) Rs.35,000.
  9. Encashment against unavailed leave Rs. 25,000.
  10. Interest free loan obtained from employer Rs.12,00,000.

11. Medical allowance Rs. 100,000.
12. Fixed educational allowance for children Rs. 70,000.
13. Telephone bills paid by employee himself Rs.36,000( tax paid with telephone bills Rs.35,00).
14. Hotel bills paid by the company relating to official duties Rs. 65,000.
15. Utilities allowance Rs. 45,000.
16. TV and Refrigerator provided by the employer only for the use of employee costing Rs. 150,000 on which the company charged depreciation @ 20% in its books of accounts.
17. Tax deducted from salary during the period Rs. 40,000.
18. Health Insurance premium paid by the employer to insurance company under the terms of employment Rs. 80,000.

**Rates of tax for salaried persons are as follow**

| <b>Taxable Income</b>                                                           | <b>Income Tax Rate in Pakistan</b>                               |
|---------------------------------------------------------------------------------|------------------------------------------------------------------|
| Where taxable income exceeds Rs. 600,000 but does not exceed Rs. 1,200,000      | 5% of the amount exceeding Rs. 600,000                           |
| Where taxable income exceeds Rs. 1,200,000 but does not exceed Rs. 1,800,000    | Rs. 30,000 plus 10% of the amount exceeding Rs. 1,200,000        |
| Where taxable income exceeds Rs. 1,800,000 but does not exceed Rs. 2,500,000    | Rs. 90,000 plus 15% of the amount exceeding Rs. 1,800,000        |
| Where taxable income exceeds Rs. 2,500,000 but does not exceed Rs. 3,500,000    | Rs. 195,000 plus 17.5% of the amount exceeding Rs. 2,500,000     |
| Where taxable income exceeds Rs. 3,500,000 but does not exceed Rs. 5,000,000    | Rs. 370,000 plus 20% of the amount exceeding Rs. 3,500,000       |
| Where taxable income exceeds Rs. 5,000,000 but does not exceeds Rs. 8,000,000   | Rs. 670,000 plus 22.5% of the amount exceeding Rs. 5,000,000     |
| Where taxable income exceeds Rs. 8,000,000 but does not exceeds Rs. 12,000,000  | Rs. 1,345,000 plus 25% of the amount exceeding Rs. 8,000,000     |
| Where taxable income exceeds Rs. 12,000,000 but does not exceeds Rs. 30,000,000 | Rs. 2,345,000 plus 27.5% of the amount exceeding Rs. 12,000,000  |
| Where taxable income exceeds Rs. 30,000,000 but does not exceeds Rs. 50,000,000 | Rs. 7,295,000 plus 30% of the amount exceeding Rs. 30,000,000    |
| Where taxable income exceeds Rs. 50,000,000 but does not exceeds Rs. 75,000,000 | Rs. 13,295,000 plus 32.5% of the amount exceeding Rs. 50,000,000 |
| Where taxable income exceeds Rs. 75,000,000                                     | Rs. 21,420,000 plus 35% of the amount exceeding Rs. 75,000,000]  |